

GLOCAL FOUNDATION OF CANADA

Compliance Risk Monitoring in Canadian Financial Institutions

Phase 3 — Regulatory Research Report

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DATASET AT A GLANCE

307 Total Violations 80 institutions, 2020–2026	\$235.1M Total Penalties Corrected per notice	40% Appeal Rate Active Federal Court appeals	2025 Peak Year 138% surge vs. 2024
117 Real Estate Violations Highest-risk sector	BC: 77.5% Penalty Concentration \$182M / \$235.1M total	\$176.9M Largest Single Penalty Xeltax Enterprises (Fintech, BC)	52.6% Micro Firms at Risk Finance sector (StatsCan 2024)

Section 1: OSFI Annual Risk Outlook — Fiscal Year 2025–2026

This analysis examines the strategic priorities and systemic risks that OSFI has flagged for 2025–2026, along with what those risks mean in practice for compliance failures across Canadian financial institutions.

Q1 — What are the four top risks identified by OSFI in the 2025–26 Risk Outlook?

OSFI has categorized the current threat landscape into four primary pillars requiring immediate institutional attention:

Risk Pillar	Description	Data Validation (Phase 4)
Integrity & Security Risk	Foreign interference, cyber-attacks, and third-party technology resilience.	Xeltax Enterprises — \$176.9M for 2,593 contraventions across 6 violation types. Confirms AI-driven financial crime materialization.
Wholesale Credit Risk	Corporate debt portfolio vulnerabilities driven by high interest rates and economic uncertainty.	Real Estate sector leads with 117 violations — highest across all sectors — reflecting lending stress.
Funding & Liquidity Risk	Uncertainty in capital market access and potential disruptions to institutional funding.	Banks account for \$21.5M in penalties; elevated compliance failures during the tightening cycle.
Residential Mortgage Underwriting Risk (RESL)	Large-scale mortgage renewals at higher interest rates compound borrower solvency risk.	Real Estate sector: 26 institutions penalized across Canada; ON and BC account for the highest concentration, consistent with RESL exposure geography.

Q2 — Which risks have escalated in priority compared to previous years?

Two risk categories have meaningfully elevated in priority compared to prior OSFI reporting cycles:

- **Integrity & Security Risk:** Integrity and Security Risk have escalated to the highest priority level. AI-driven financial crime, deepfake fraud, and state-sponsored cyber intrusions targeting financial infrastructure are the primary drivers. This risk is clearly reflected in the data:
 - Xeltax Enterprises Ltd. (also known as Cryptomus / formerly Certa Payments Ltd.) received a \$176,960,190 penalty for 2,593 contraventions — representing 75% of all penalties in this dataset. They appealed to the Federal Court.
 - MP Technology Services Ltd. was fine \$536,853 for four violations, including unreported Electronic Funds Transfers (EFTs) and suspicious transactions involving darknet marketplaces and sanctioned entities.
- **Wholesale Credit Risk:** Rising corporate debt refinancing pressures, driven by a "higher-for-longer" interest rate environment, have led to much stricter enforcement of credit-related

compliance. This trend is evident in the dataset through increased scrutiny of large-scale institutions and a surge in penalties in 2025, as regulators seek to catch reporting gaps before they escalate into systemic failures.

Q3 — How could these risks translate into infractions or compliance issues?

The identified systemic risks translate into specific regulatory vulnerabilities and potential compliance failure points:

- Guideline B-10 Failures:** Inadequate oversight of third-party technology providers, particularly during cyber incidents or service outages (OSFI Guideline B-10 failures). In our dataset, 5 violations for Obligation to register with FINTRAC and 9 Registration information requirements violations reflect systemic gaps in third-party and platform governance among Fintech/MSBs.
- Guideline B-20 Breaches:** Imprudent mortgage underwriting practices that fail to adequately stress-test borrowers against rate renewal scenarios (OSFI Guideline B-20 breaches).
- AML/ATF Deficiencies:** Legacy transaction monitoring systems are unable to detect AI-generated fraudulent transactions or synthetic identity fraud patterns — directly evidenced by 36 Suspicious transaction reporting violations in the dataset with a combined penalty of \$203.3M (86.5% of total AMP).

Q4 — Do certain provinces or institutions appear more exposed?

Current data indicate that certain regions and asset classes face disproportionate exposure. The following table cross-references OSFI risk priorities with Phase 4 enforcement geography:

Province	Violations	Total Penalty (\$)	Institutions	Key Risk Driver
British Columbia	126	\$182,254,711	27	MSBs, Fintech, Crypto (RESL + Integrity Risk)
Ontario	106	\$22,824,920	31	Banks, Real Estate (Wholesale Credit, RESL)
Quebec	45	\$1,745,847	14	Lower rate — stronger compliance culture
Saskatchewan	12	\$1,990,640	3	Casino/Gaming — Funding Risk
International	9	\$26,090,853	3	Cross-border Fintech (Integrity & Security Risk)

 **British Columbia: Priority Risk Province**

BC accounts for 77.5% of the total penalty value (\$182M of \$235.1M) despite representing only 35% of the violation cases. Three structural factors drive this concentration:

- Gateway province for international financial flows and trade finance — highest exposure to cross-border AML/ATF risk.
- FIRE sector represents 24.3% of BC's provincial GDP — the highest share in Canada — creating outsized systemic exposure.
- High concentration of cryptocurrency-related entities (VASPs) and Money Services Businesses (MSBs), including Xeltox Enterprises — the \$176.9M case that alone accounts for 75% of national penalties.

Q5 — How might OSFI's risks influence regulatory action frequency and severity?

OSFI's evolving supervisory model will change both the frequency and nature of enforcement measures:

- **Increased Intervention:** Faster imposition of higher capital buffers for institutions that fail to demonstrate operational and financial resilience.
- **Targeted Investigations:** More frequent audits focused on cyber-resilience frameworks and mortgage stress-testing compliance.
- **Severity Escalation:** A deliberate shift from advisory notices to formal enforcement actions and financial penalties for institutions with persistent risk management gaps — consistent with the 138% surge in violation counts observed in 2025.

Section 2: Canada's Anti-Money Laundering Agency — FINTRAC Scorecard Initiative

The following section details the evolution of FINTRAC's supervisory tools, focusing on the new performance metrics designed to standardize compliance assessment across institution types.

Q1 — What is the new FINTRAC scorecard initiative?

One of the more significant developments in recent regulatory practice is FINTRAC's introduction of a Compliance Scorecard — a structured tool designed to move beyond subjective assessments and actually quantify how well an institution's AML/ATF program is functioning. In addition to providing a clearer picture of compliance performance, the scorecard brings a degree of standardization that was previously absent from these evaluations. It does so by rating institutions across five core pillars: governance and oversight, risk assessment, policies and procedures, training, and reporting effectiveness.

Q2 — What triggered the need for this initiative?

The need for this initiative was triggered by the Financial Action Task Force (FATF) evaluations, which identified gaps in Canada's AML/ATF supervision framework — specifically, the lack of consistent, quantified metrics to measure institutional compliance effectiveness. The scorecard directly addresses FATF's recommendation that Canadian supervisors adopt more systematic, data-driven approaches to compliance monitoring.

Dataset Validation

The need for this scorecard is not just theoretical—the Phase 4 data makes it undeniable. Out of the 307 violations tracked between 2020 and 2026, the most common failures are the exact same areas FINTRAC’s scorecard is designed to fix.

The numbers show a clear pattern of internal program breakdowns:

- Politically exposed persons – obligations: 106 violations (34.5% of all violations) — the single most frequent obligation type across the dataset.
- Compliance program requirements: 86 violations (28.0%) — covering failures in AML/ATF policies, risk assessments, training, and effectiveness reviews.
- Suspicious transaction reporting: 36 violations (11.7%) — carrying \$203.3M in penalties, representing 86.5% of total AMP value.
- Client identification: 35 violations (11.4%) — failures to verify and document client identity as required under PCMLTFA.

Q3 — What regulatory enhancements are being proposed alongside the scorecard?

Beyond the scorecard itself, the Canadian government is moving to update the legal framework that underpins the entire Anti-Money Laundering/Anti-Terrorist Financing (AML/ATF) regime. The proposed amendments to the Proceeds of Crime (Money Laundering) and Terrorist Financing Act

(PCMLTFA) are not cosmetic — they reflect a genuine push to close gaps that regulators have long acknowledged:

- **Broader Information Sharing:** One of the more consequential proposals gives FINTRAC the ability to share tactical intelligence not only with law enforcement, but also with select private sector partners. The goal is to create a more connected network capable of spotting financial crimes in real time.
- **Whistleblower Protections:** Following successful models in the UK and Australia, these new rules protect employees who report internal non-compliance — a direct effort to break the culture of silence that has historically shielded misconduct inside financial institutions.
- **Strengthened 'Fit and Proper' Tests:** Perhaps the most operationally significant change involves tougher registration requirements for MSBs and Virtual Asset Service Providers. Regulators will now conduct detailed background reviews of directors and beneficial owners — a shift accelerated in no small part by the Xeltor/Cryptomus case, where inadequate local oversight contributed directly to record-breaking fines.

Q4 — How will the scorecard affect Fintech vs. Traditional institution comparisons?

The scorecard creates a standardized compliance benchmark that changes how Fintech firms are assessed relative to traditional banks and credit unions:

Category	Violation Count	Total Penalty (\$)	Institutions	Scorecard Impact
MSB (Fintech/MSB)	69	\$2,318,712	18	Higher scrutiny — most violations per institution
Fintech	22	\$203,175,943	7	Highest penalty value — Xeltor effect; 75% of total
Real Estate (Traditional)	117	\$2,912,010	26	Highest frequency — 38% of all violations
Bank (Traditional)	26	\$21,482,765	8	Lower frequency; higher unit penalties
Credit Union (Traditional)	14	\$662,410	4	Lowest frequency among traditional types
Accountant (Traditional)	3	\$72,750	1	Smallest sector; single institution penalized
Dealer PM&S (Traditional)	28	\$1,068,112	7	Moderate frequency; precious metals and stones sector
Securities Dealer (Traditional)	17	\$852,390	5	Lower violation count; concentrated in ON; compliance scorecard may

				reveal under-reporting
Casino (Traditional)	11	\$2,596,015	4	High per-institution average; suspicious transaction reporting and risk assessment gaps dominant

Traditional institutions benefit from established compliance infrastructure and dedicated compliance officers. Fintech and MSB entities — which account for 29.6% of violations in this dataset (91 of 307) despite comprising a smaller share of the total regulated entities — will face more objective, transparent scoring. The scorecard is expected to accelerate enforcement against non-compliant Fintechs while providing compliant ones with a reputational advantage.

Section 3: Annual Reports — Financial Consumer Agency of Canada (FCAC)

The following analysis outlines the evolution of the FCAC's supervisory tools and enforcement priorities and identifies compliance risk indicators derived from its annual reporting.

Q1 — What enforcement mechanisms has FCAC introduced in recent years?

- The FCAC has moved away from voluntary compliance, replacing it with a rigorous enforcement model built around the Financial Consumer Protection Framework (FCPF). This transition has introduced several high-pressure mechanisms that banks must now navigate:
- **Mandatory Breach Reporting:** The FCPF has effectively ended the era of "discretionary disclosure." Banks are now legally tied to strict timelines for reporting any material breaches of consumer protection. It's no longer about whether they want to report an error, but about meeting a mandatory transparency baseline that the regulator now demands.
- **Public Penalties and "Naming":** The Agency is now much more aggressive with Administrative Monetary Penalties (AMPs). By publishing enforcement notices, they have turned regulatory failures into major reputational risks that go far beyond just the cost of the fine.
- **Ad-Hoc Industry Reviews:** The FCAC now frequently launches "spot checks"—like the recent mortgage relief reviews—forcing banks to produce detailed compliance documentation on very short notice to prove they are following the rules in real-time.

Q2 — Which compliance areas does FCAC emphasize most?

The FCAC has shifted its focus toward three high-stakes areas that directly affect the financial health of Canadians. They aren't just looking at paperwork anymore; they are auditing actual outcomes:

- **Internal Dispute Resolution (IDR):** It is no longer enough for a bank to just "have" a complaint department. The regulator now expects to see a streamlined, accessible process where escalation paths are clear and resolution timelines are strictly documented.
- **Cost of Borrowing and Disclosure:** There is a major crackdown on how the "Total Cost of Credit" is disclosed. This is especially critical for high-risk products like HELOCs and variable-rate mortgages, where any lack of transparency is now treated as a serious compliance failure.
- **Complaint Handling Effectiveness:** This has become the Agency's most scrutinized area. They've moved beyond checking if a file was simply "closed"; they now audit the speed, the quality of the communication, and—most importantly—the fairness of the final resolution.

Q3 — Which FCAC misconduct patterns serve as compliance risk proxy indicators?

Through its annual reporting, the FCAC has identified the following patterns as early warning signals for deeper systemic compliance failures:

- **Inconsistent Application of Forbearance:** Wide disparities in how mortgage relief is offered across client segments indicate a breakdown in internal controls and staff training.
- **'Silent' Product Features:** Complaint patterns regarding unexpected fees or automated renewals point to failures in disclosure compliance and inadequate product documentation.

- **Escalation Delays:** High complaint volumes reaching the external Ombudsman for Banking Services and Investments (OBSI) before internal resolution is a primary indicator that an institution's complaint-handling framework is failing or chronically under-resourced.

Section 4: Statistics Canada — Macro-Level Context: Finance & Insurance Sector (NAICS 52)

This section uses Statistics Canada data to normalize FINTRAC violation counts against macro-level sector variables, enabling more rigorous comparisons across provinces and institution types.

1. Sector-Level Overview — Number of Firms (NAICS 52, 2024)

To make the FINTRAC violation counts truly meaningful, we have normalized the data using Statistics Canada (2024) benchmarks. The Finance & Insurance sector (NAICS 52) is massive and highly fragmented, consisting of 40,426 employer establishments and 195,919 non-employer or indeterminate entities nationwide.

This structural breakdown, as shown below, is key to understanding why certain sectors struggle more with compliance:

Size Category	Share of Firms	Compliance Implication
Micro (<5 employees)	52.6%	Highest violation risk — no dedicated compliance staff
Small (5–499 employees)	45.4%	Moderate risk — limited compliance resources
Medium (100–499 employees)	1.6%	Lower risk — partial compliance infrastructure
Large (500+ employees)	0.4%	Lowest frequency, but highest unit penalties (banks)

This highly fragmented landscape means that compliance capacity varies dramatically across the board. Small and micro establishments—which make up the vast majority of MSBs, real estate dealers, and independent securities dealers—rarely have the budget for dedicated compliance officers or formal AML/ATF programs.

There is also a direct correlation here: this structural gap explains why Real Estate (117 violations) and MSBs (69 violations) dominate the enforcement statistics. While large banks face higher fines per hit, it's the sheer volume of these smaller, under-resourced players that drives the majority of FINTRAC's violation counts.

2. Finance & Insurance GDP Contribution and Sector Growth

The FIRE sector accounts for roughly 19.5% of Western Canada's GDP in 2024. That average, however, does not tell the full story — the provincial breakdown reveals a concentration pattern that maps closely onto the enforcement data collected in this report.

- **British Columbia:** At 24.3% of provincial GDP, BC carries the largest FIRE footprint in the region. The size of that base goes a long way toward explaining why the province generates a disproportionate share of regulatory violations and penalty value.

- **Manitoba:** The sector represents 19.9% of provincial GDP — a significant share for an economy of that scale, sustained primarily by credit unions and insurance activity with long roots in the province.
- **Alberta:** FIRE sits at 16.4%, operating alongside an energy sector that still dominates provincial output. Financial institutions here are more exposed to commodity-driven volatility, which shapes the nature of the compliance risks that surface.
- **Saskatchewan:** The lowest share among the four western provinces at 14.9%. Agricultural lending and credit unions account for most of the sector's activity. Smaller footprint, but not a lower-risk one.

The Finance & Insurance sub-sector specifically (NAICS 52) represents 5.1% of Western Canada's GDP. Nationally, it grew just 0.5% in 2023 — against a broader average of 1.6%. That slowdown points to a period of consolidation within the sector, and it runs parallel to the sharpening of FINTRAC's enforcement posture that becomes visible in the 2024–2025 data.

3. Provincial Employment in Finance & Insurance (2024)

The FIRE sector employed 394,100 workers across Western Canada and the Territories in 2024 — 5.8% of total regional employment. Within that, finance and insurance alone accounted for 3.8%, with the rest tied to real estate and leasing.

- BC leads at 6.3% of provincial employment in FIRE, consistent with its GDP share in the sector.
- Between 2014 and 2024, the sector added roughly 45,800 jobs nationally — going from 211,400 to 257,200 workers over ten years, at about 2.0% per year.
- At \$35.7/hr, BC workers in finance and insurance earn marginally less than the \$36.1/hr national median — a difference that feels larger when set against the province's cost of living.
- 59.1% of the sector's workforce is female. That number does not shift much from province to province, which points to something embedded in how these jobs are structured rather than anything geography-specific.

4. Normalized Infraction Rates by Province

Normalized Infraction Rates by Province

Cross-referencing FINTRAC violation counts with Statistics Canada establishment data reveals meaningful disparities in the distribution of compliance risk across provinces.

- **British Columbia:** 126 violations across 27 institutions. MSBs and Fintech entities drive most of that volume — sectors that are heavily represented in BC, given the province's role as an entry point for international financial flows and its concentration of cryptocurrency-related businesses.
- **Ontario:** 106 violations across 31 institutions — more regulated entities than BC, but a lower normalized infraction rate. The province's larger, more established institutions appear to carry stronger compliance infrastructure as a baseline.
- **Quebec:** 45 violations across 14 institutions. The gap with BC and Ontario is notable, though the data alone does not explain it — further analysis will need to dig into whether that number reflects actual compliance strength or something structural about how the province is supervised.

5. SME Compliance Capacity and Structural Risk

Statistics Canada's Key Small Business Statistics (2024) puts SME contribution to Finance, Insurance and Real Estate GDP at 29.2% on average between 2017 and 2021 — compared to 50.8% for goods-producing SMEs. The sector's output is concentrated in large incumbents, but small and micro entities dominate the actual number of businesses operating in it.

- **Structural Gap:** 52.6% of Finance & Insurance employer establishments have fewer than 5 employees. At that scale, a dedicated compliance function is rarely feasible — and the FINTRAC data reflects that directly
- **Highest-Risk Entities:** The institution types generating the highest violation counts in this dataset are consistently the smaller ones. Most operate without dedicated compliance staff, automated monitoring, or external audits — not by choice, but by budget.
- **Policy Implication:** enforcement focused purely on penalties does little for entities that lack the capacity to comply in the first place. The data makes a case for prioritizing targeted support and proactive engagement with smaller institutions before violations occur.

Section 5: Integrated Conclusion — Research to Data Validation

This section bridges the qualitative research findings from Sections 1–4 with the quantitative data compiled in the Phase 4 FINTRAC Compliance Analysis (Excel). The alignment between regulatory theory and enforcement reality validates both the research methodology and the integrity of the dataset.

5.1 Risk Confirmation: OSFI Predictions vs. FINTRAC Enforcement Reality

The risks identified by OSFI for 2025–2026 are not theoretical — they are confirmed and quantified by the enforcement record:

OSFI Risk Category	Dataset Evidence	Penalty Impact
Integrity & Security Risk	Xeltos Enterprises (\$176.9M, 6 violations including 2,593 contraventions). MP Technology Services (\$536,853, 4 violations — EFTs to darknet/sanctioned entities).	75.5% of all penalties in the dataset (Xeltos: 75.3% + MP Technology: 0.2%)
RESL / Real Estate Lending	Real Estate sector: 117 violations (highest) across 26 institutions; concentrated in ON and BC.	\$2.9M direct penalties; highest violation frequency (38.1% of all violations)
AML/ATF Systemic Gaps	Suspicious transaction reporting: 36 violations / \$203.3M (86.5% of total AMP). Compliance program requirements: 86 violations (most frequent type, 28.0% of all violations).	86.5% of total penalty value driven by Suspicious Transaction Reporting violations
SME Compliance Capacity	52.6% of NAICS 52 firms are micro entities; Real Estate + MSBs represent 60.6% of all violations (186 of 307).	Structural driver of enforcement surge — 60.6% of violations, only 1.2% of total AMP

5.2 The BC Enforcement Concentration: Why It Matters

British Columbia — The National Risk Epicentre

British Columbia's disproportionate enforcement profile (\$182M of \$235.1M in national penalties, 77.5% concentration) is not coincidental — it reflects a convergence of three structural factors validated across all four research sections:

- Economic Structure (Statistics Canada): BC's FIRE sector accounts for 24.3% of provincial GDP — the highest in Canada — creating the largest exposure base.
- Regulatory Exposure (OSFI): BC's concentration of VASPs, MSBs, and cryptocurrency entities makes it the most exposed province to Integrity & Security Risk — OSFI's #1 priority for 2025–26.

- Enforcement Reality (FINTRAC): Xeltos Enterprises Ltd. (BC-registered, \$176.9M penalty) validates OSFI's Integrity & Security Risk category at a scale unprecedented in Canadian AML enforcement history.

5.3 The 2025 Enforcement Surge: A Systemic Inflection Point

2025 saw 119 violations and \$203.1M in penalties — up from 50 violations the year prior. The 138% increase was not a fluke — it reflects a series of overlapping regulatory and institutional changes that happened to peak at the same time:

- FINTRAC's new Compliance Scorecard is expanding examination scope and standardizing how infractions are identified and recorded.
- OSFI's move toward a more proactive supervisory model, with faster penalty imposition timelines.
- The maturation of digital asset enforcement, with Fintech and Crypto penalties accounting for \$203M of the \$235.1M total — across just 7 institutions.
- Examination cycles that were deferred during the pandemic are finally running their course, working through a backlog that had been accumulating for years.

5.4 Policy Recommendation: Risk-Based Regulatory Tiering

The convergence of Statistics Canada structural data and FINTRAC enforcement patterns points to a single most impactful policy intervention: risk-based regulatory tiering that allocates supervisory resources proportionally to compliance capacity gaps.

Recommended Action Framework

Based on the integrated analysis across all four research sections:

- Tier 1 (Immediate Priority): Micro and small MSBs and Real Estate dealers in British Columbia — targeted compliance support, mandatory FINTRAC scorecard baseline assessments, and accelerated examination cycles.
- Tier 2 (Structural Monitoring): Fintech and VASP entities nationally — enhanced ‘Fit and Proper’ registration scrutiny and quarterly Suspicious transaction reporting pattern monitoring.
- Tier 3 (Systemic Oversight): Large banks and credit unions — continued stress-testing compliance under Guideline B-20 and FCAC consumer protection framework monitoring.

This research report was prepared as part of the GLOCAL Foundation of Canada's 120-hour Compliance Risk Monitoring project. The findings in this Phase 3 report provide the investigative foundation for the quantitative analysis completed in Phase 4. All data referenced from the FINTRAC dataset corresponds to the accompanying Excel file: Carlos_Restrepo-FINTRAC_Compliance_Analysis.xlsx.